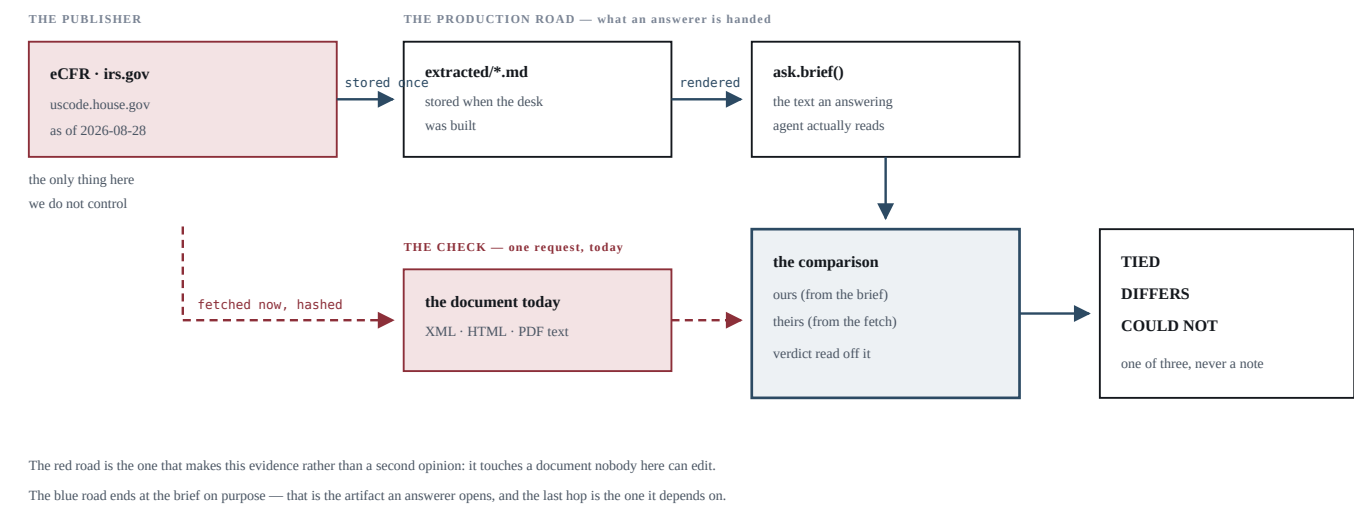


capitalization-and-de-minimis

Every passage this desk hands to an answering agent, put back to the publisher that wrote it.

The question is not whether our tests pass. It is whether the authority we serve is what the authority actually says — which no test in this repository can answer, because they all read the same stored files.



The same passage, two roads. They meet at the comparison, and the verdict is read off that block rather than written ahead of it.

The roster

0	0	89 of 89	3
DIFFERS	COULD NOT	TIED	SOURCES FETCHED LIVE

Of the 89 that tied, 88 matched the publisher's characters exactly, 0 matched only once whitespace was ignored, and 1 carry a marked omission and were checked segment by segment, in order. All three are declared, and explained under what this does not prove.

88 + 0 + 1 = 89, which is the tied count above. THE SENTENCE USED TO NAME TWO OF THE THREE and so did not add up — 43 and 4 against 49 tied on the cash desk, with the two marked omissions unaccounted for. A breakdown that does not sum to its own total is the failure this exhibit exists to catch, printed by the exhibit.

The sample of one, worked end to end

The longest passage on this desk, because a long one has the most places to be wrong.

1 · THE FIGURE — AND WHERE A READER SEES IT

Not a row of a database: the paragraph of authority the desk hands an answering agent under the citation 26 CFR 1.162-3(h) Example 3. It is read out of ask.brief(), which is the text that agent opens, and it is 2,644 characters long.

C operates a fleet of specialized vehicles that it uses in its service business. Assume that each vehicle is a unit of property under § 1.263(a)-3(e). At the time that it acquires a new type of vehicle, C also acquires a substantial number of rotatable spare parts that it will keep on hand to replace similar parts in C's vehicles as those parts break down or wear out. These rotatable parts are removable from the vehicles and are repaired so that they can be reinstalled on the same or similar vehicles. C uses the optional method of accounting for all its rotatable and temporary spare parts under paragraph (e) of this section. In Year 1, C acquires several vehicles and a number of rotatable spare parts (the "Year 1 rotatable parts") to be used as replacement parts in these vehicles. In Year 2, C repairs several vehicles and uses the Year 1 rotatable parts to replace worn or damaged parts. In Year 3, C pays amounts to remove these Year 1 rotatable parts from its vehicles. In Year 4, C pays amounts to maintain, repair, or improve the Year 1 rotatable parts. In Year 5, C pays amounts to reinstall the Year 1 rotatable parts on other similar vehicles. In Year 8, C removes the Year 1 rotatable parts from these vehicles and stores these parts for possible later use. In Year 9, C disposes of the Year 1 rotatable parts. Under paragraph (e) of this section, C must deduct the amounts paid to acquire and install the Year 1 rotatable parts in Year 2, the taxable year in which the rotatable parts are first installed by C in C's vehicles. In Year 3, when C removes the Year 1 rotatable parts from its vehicles, C must include in its gross income the fair market value of each part. Also, in Year 3, C must include in the basis of each Year 1 rotatable part the fair market value of the rotatable part and the amount paid to remove the rotatable part from the vehicle. In Year 4, C must include in the basis of each Year 1 rotatable part the amounts paid to maintain, repair, or improve each rotatable part. In Year 5, the year that C reinstalls the Year 1 rotatable parts (as repaired or improved) in other vehicles, C must deduct the reinstallation costs and the amounts previously included in the basis of each part. In Year 8, the year that C removes the Year 1 rotatable parts from the vehicles, C must include in income the fair market value of each rotatable part removed. In addition, in Year 8, C must include in the basis of each part the fair market value of that part and the amount paid to remove each rotatable part from the vehicle. In Year 9, the year that C disposes of the Year 1 rotatable parts, C may deduct the amounts remaining in the basis of each rotatable part.

2 · THE CALL — COPY-PASTABLE, WITH THE REAL VALUES IN IT

```
curl -sS --compressed "https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?section=1.162-3"
```

Fetches 2026-09-07 02:59:37Z · 42,007 bytes · SHA-256
ef32365e877f2941932b88dc6bdb67e0249be3adf1185d4d552c2c5196ec413b

3 · THE DERIVATION — WHAT HAPPENS BETWEEN THE TWO

The response is turned into plain text: an XML or HTML document has its inline tags closed up and its block tags turned into a space, a PDF is read page by page. Both sides are then folded the same way — Unicode normalised, and the typographic quotes and dashes publishers vary between renderings mapped to their plain forms. **Nothing else is changed.** The stored text either occurs in the publisher's document or it does not.

4 · THE INDEPENDENT SOURCE — CAPTURED, NOT SUMMARISED

The publisher's own words around the match, quoted verbatim out of the bytes whose hash is printed above. **A reader re-fetches that URL, recomputes the hash, and gets the same digits** — which is a check a photograph cannot offer.

...e parts. Example 3 Rotable spare parts; application of optional method of accounting. C operates a fleet of specialized vehicles that it uses in its service business. Assume that each vehicle is a unit of property under § 1.263(a)-3(e). At the time that it acquires a new type of vehicle, C also acquires a substantial number of rotatable spare parts that it will keep on hand to replace similar parts in C's vehicles as those parts break down or wear out. These rotatable parts are removable from the vehicles and are repaired so that they can be reinstalled on the same or similar vehicles. C uses the optional method of accounting for all its rotatable and temporary spare parts under paragraph (e) of this section. In Year 1, C acquires several vehicles and a number of rotatable spare parts (the "Year 1 rotatable parts") to be used as replacement parts in these vehicles. In Year 2, C repairs several vehicles and uses the Year 1 rotatable parts to replace worn or damaged parts. In Year 3, C pays amounts to remove these Year 1 rotatable parts from its vehicles. In Year 4, C pays amounts to maintain, repair, or improve the Year 1 rotatable parts. In Year 5, C pays amounts to reinstall the Year 1 rotatable parts on other similar vehicles. In Year 8, C removes the Year 1 rotatable parts from these vehicles and stores these parts for possible later use. In Year 9, C disposes of the Year 1 rotatable parts. Under paragraph (e) of this section, C must deduct the amounts paid to acquire and install the Year 1 rotatable parts in Year 2, the taxable year in which the rotatable parts are first installed by C in C's vehicles. In Year 3, when C removes the Year 1 rotatable parts from its vehicles, C must include in its gross income the fair market value of each part. Also, in Year 3, C must include in the basis of each Year 1 rotatable part the fair market value of the rotatable part and the amount paid to remove the rotatable part from the vehicle. In Year 4, C must include in the basis of each Year 1 rotatable part the amounts paid to maintain, repair, or improve each rotatable part. In Year 5, the year that C reinstalls the Year 1 rotatable parts (as repaired or improved) in other vehicles, C must deduct the reinstallation costs and the amounts previously included in the basis of each part. In Year 8, the year that C removes the Year 1 rotatable parts from the vehicles, C must include in income the fair market value of each rotatable part removed. In addition, in Year 8, C must include in the basis of each part the fair market value of that part and the amount paid to remove each rotatable part from the vehicle. In Year 9, the year that C disposes of the Year 1 rotatable parts, C may deduct the amounts remaining in the basis of each rotatable part. Example 4 Rotatable part acquired as part of a single unit of property; not material or supply. D operates a fleet of aircraft. In Year 1, D acquires a new aircraft, which includes two new aircraft engines. The aircraft costs \$500,000 and has an economic useful...

5 · THE COMPARISON

ours	(ask.brief → 26 CFR 1.162-3(h) Example 3) 2,644 characters
theirs	(https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/ti) 2,644 of them found, verbatim, in the document fetched above
diff	none

TIED — the publisher’s characters exactly

Every passage on this desk

VERDICT	CITATION	CHARS	HOW / WHY
TIED	26 CFR 1.162-3(a)(1)	390	exact
TIED	26 CFR 1.162-3(a)(2)	432	exact
TIED	26 CFR 1.162-3(a)(3)	415	exact
TIED	26 CFR 1.162-3(c)(1)	206	exact
TIED	26 CFR 1.162-3(c)(1)(i)	242	exact
TIED	26 CFR 1.162-3(c)(1)(ii)	167	exact
TIED	26 CFR 1.162-3(c)(1)(iii)	196	exact
TIED	26 CFR 1.162-3(c)(1)(iv)	323	exact

VERDICT	CITATION	CHARS	HOW / WHY
TIED	26 CFR 1.162-3(c)(1)(v)	223	exact
TIED	26 CFR 1.162-3(c)(2)	591	exact
TIED	26 CFR 1.162-3(d)(1)	776	exact
TIED	26 CFR 1.162-3(f)	1,001	exact
TIED	26 CFR 1.162-3(g)	557	exact
TIED	26 CFR 1.162-3(h) Example 1	941	exact
TIED	26 CFR 1.162-3(h) Example 10	998	exact
TIED	26 CFR 1.162-3(h) Example 11	1,032	exact
TIED	26 CFR 1.162-3(h) Example 12	1,024	exact
TIED	26 CFR 1.162-3(h) Example 13	1,738	exact
TIED	26 CFR 1.162-3(h) Example 14	1,919	exact
TIED	26 CFR 1.162-3(h) Example 2	1,519	exact
TIED	26 CFR 1.162-3(h) Example 3	2,644	exact
TIED	26 CFR 1.162-3(h) Example 4	1,273	exact
TIED	26 CFR 1.162-3(h) Example 5	857	exact
TIED	26 CFR 1.162-3(h) Example 6	868	exact
TIED	26 CFR 1.162-3(h) Example 7	748	exact
TIED	26 CFR 1.162-3(h) Example 8	565	exact
TIED	26 CFR 1.162-3(h) Example 9	934	exact
TIED	26 CFR 1.263(a)-1(a)	133	exact
TIED	26 CFR 1.263(a)-1(a)(1)	139	exact
TIED	26 CFR 1.263(a)-1(a)(2)	126	exact
TIED	26 CFR 1.263(a)-1(e)(3) Example 1	313	exact
TIED	26 CFR 1.263(a)-1(e)(3) Example 2	231	exact
TIED	26 CFR 1.263(a)-1(e)(3) Example 3	392	exact
TIED	26 CFR 1.263(a)-1(e)(3) Example 4	400	exact
TIED	26 CFR 1.263(a)-1(e)(3) Example 5	323	exact
TIED	26 CFR 1.263(a)-1(e)(3) Example 6	476	exact
TIED	26 CFR 1.263(a)-1(f)(1)	855	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)	320	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)(A)	104	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)(B)	132	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)(B)(1)	77	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)(B)(2)	112	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)(C)	166	exact
TIED	26 CFR 1.263(a)-1(f)(1)(i)(D)	275	exact
TIED	26 CFR 1.263(a)-1(f)(1)(ii)	324	exact

VERDICT	CITATION	CHARS	HOW / WHY
TIED	26 CFR 1.263(a)-1(f)(1)(ii)(A)	114	exact
TIED	26 CFR 1.263(a)-1(f)(1)(ii)(B)	124	exact
TIED	26 CFR 1.263(a)-1(f)(1)(ii)(B)(1)	77	exact
TIED	26 CFR 1.263(a)-1(f)(1)(ii)(B)(2)	112	exact
TIED	26 CFR 1.263(a)-1(f)(1)(ii)(C)	147	exact
TIED	26 CFR 1.263(a)-1(f)(1)(ii)(D)	273	exact
TIED	26 CFR 1.263(a)-1(f)(1)(iii)	493	exact
TIED	26 CFR 1.263(a)-1(f)(2)	137	exact
TIED	26 CFR 1.263(a)-1(f)(2)(i)	90	exact
TIED	26 CFR 1.263(a)-1(f)(2)(ii)	27	exact
TIED	26 CFR 1.263(a)-1(f)(2)(iii)	154	exact
TIED	26 CFR 1.263(a)-1(f)(2)(iv)	170	exact
TIED	26 CFR 1.263(a)-1(f)(3)(i)	1,633	exact
TIED	26 CFR 1.263(a)-1(f)(3)(ii)	419	exact
TIED	26 CFR 1.263(a)-1(f)(3)(iii)	271	exact
TIED	26 CFR 1.263(a)-1(f)(3)(iv)	486	exact
TIED	26 CFR 1.263(a)-1(f)(3)(v)	506	exact
TIED	26 CFR 1.263(a)-1(f)(3)(vi)	657	exact
TIED	26 CFR 1.263(a)-1(f)(3)(vii)	615	exact
TIED	26 CFR 1.263(a)-1(f)(4)	377	exact
TIED	26 CFR 1.263(a)-1(f)(5)	1,824	exact
TIED	26 CFR 1.263(a)-1(f)(6)	486	exact
TIED	26 CFR 1.263(a)-1(f)(6)(i)	283	exact
TIED	26 CFR 1.263(a)-1(f)(6)(ii)	209	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 1	1,059	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 10	1,226	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 11	1,536	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 2	796	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 3	1,282	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 4	890	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 5	1,649	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 6	2,227	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 7	1,826	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 8	406	exact
TIED	26 CFR 1.263(a)-1(f)(7) Example 9	1,429	exact
TIED	IRS Tangible Property Final Regulations, "A de minimis safe harbor election" – Note on Notice 2015-82 (sentence rejoined across the page's inline link)	530	elided

VERDICT	CITATION	CHARS	HOW / WHY
TIED	IRS Tangible Property Final Regulations, "How do you elect to use the de minimis safe harbor?"	556	exact
TIED	IRS Tangible Property Final Regulations, "How does the de minimis safe harbor affect the deductions you typically take for materials and supplies or repairs and maintenance?"	399	exact
TIED	IRS Tangible Property Final Regulations, "If you don't have an AFS, are you required to have a written accounting procedure at the beginning of your taxable year?"	345	exact
TIED	IRS Tangible Property Final Regulations, "If you use the de minimis safe harbor, do you have to capitalize all expenses that exceed the limitations?"	896	exact
TIED	IRS Tangible Property Final Regulations, "What if your book policy exceeds the de minimis safe harbor ceiling?"	282	exact
TIED	IRS Tangible Property Final Regulations, "What is the de minimis safe harbor election?"	617	exact
TIED	IRS Tangible Property Final Regulations, "When can you deduct the costs of materials and supplies?" – incidental	407	exact
TIED	IRS Tangible Property Final Regulations, "When can you deduct the costs of materials and supplies?" – non-incidental	728	exact

The sources, and that they can disagree with us

- **S1** — Treasury Regulation § 1.263(a)-1 — Capital expenditures; in general
[https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?section=1.263\(a\)-1](https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?section=1.263(a)-1)
- **S2** — Treasury Regulation § 1.162-3 — Materials and supplies
<https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?section=1.162-3>
- **S3** — IRS, "Tangible property final regulations" (irs.gov), page last reviewed or updated 04-Aug-2026
<https://www.irs.gov/businesses/small-businesses-self-employed/tangible-property-final-regulations>

Not one of these is ours. None is a cache, a fixture or a second copy of our own record — which is the test the tie-out skill puts first: **could this disagree with me?** Each one can, and two of them did.

How to run this yourself

Every step below has the real values already in it. Nothing here needs me.

1 · RE-RUN THE WHOLE CHECK

```
cd desk && python -B tools/tieout.py
```

It fetches every source live and writes `tie-outs/findings.json`. Expect it to take a few minutes: it pauses between requests rather than hammering the publishers.

2 · REBUILD THESE DOCUMENTS FROM THAT RUN

```
cd desk && python -B tools/tieout_exhibit.py
```

3 · CHECK ONE LINE BY HAND, WITHOUT EITHER SCRIPT

Take any row in the roster, fetch its URL, and look for the text yourself:

```
curl -sS --compressed "https://www.ecfr.gov/api/versioner/v1/full/2026-08-28/title-26.xml?
section=1.162-3" | shasum -a 256
```

If that hash matches the one printed with the exemplar above, you are reading the same bytes this document read. Then search the document for the passage — the desk prints it under that citation in the brief:

```
cd desk && python -B -c "import sys; sys.path.insert(0,'.'); import ask, record, pathlib; \
print(ask.brief('show me', record.load(pathlib.Path('desks/capitalization-and-de-minimis')))" |
less
```

What it found

Nothing, and that sentence had to be earned three times over. All 531 passages the seven desks hand an answering agent are, today, what the publisher publishes: **0 differs, 0 could not**. The run this morning said 533 and two; the one before it said 88 differences. What changed in between is the record and the checker, and both are worth reading before this figure is believed.

The three findings this run closed, each fixed in the record rather than in the check.

- **Right text, wrong link — three passages.** The rewards desk stored § 6041, § 6041A, § 6050W and § 6071 under ONE source whose recorded URL is the House's granule for **§ 6041 only**. All four bodies were **verbatim correct**, so nothing served was ever wrong and no test in the repository could have seen it — a reader following the citation for three of the four simply landed on a page that did not contain it. **Only opening the link finds this.** Split into four sources, four URLs, each verified live; and the record now has a test comparing the URL a citation is really on with the URL its source claims.
- **A partial quotation that did not say it was one.** Publication 583's sentence has two branches and the cash desk stored the second without marking the omission. The split is right — the branches have opposite answers, which is the defect #264 found — but an answerer could not tell a branch had been removed. Marked now with [. . .], and the mark is CHECKED rather than excused: every segment must appear in the live document, in order.
- **A publisher's interface text inside a quotation.** irs.gov appends the word **PDF** to links that point at PDFs, and one sits mid-sentence on the tangible-property page. Ours dropped it. This was judged in our favour this morning and left; it is the same unmarked omission as Pub 583, and it is marked now. It was the last difference in the corpus.

What "nothing" is worth here. Three of the 531 tied only because a marked omission was checked segment by segment, and 13 tied only once whitespace was ignored. Both are

declared, both are counted on each desk's own sheet, and neither is silently folded into the headline. A clean run that hides how it got clean is the thing this exhibit exists not to be.

What I got wrong

The first run reported 88 differences and 34 of them were mine. The extractor replaced every markup tag with a space, so eCFR's `</I>(1)` came back as `election - (1)` and `601.601(d)(2)(ii)(<I>b</I>)` as `( b )`. A checker that invents differences is worse than no checker, because somebody goes and "fixes" the record to match it. Inline tags now close up and only block tags become a space.

Then it reported 18, and 16 of those were mine too. pypdf reads a kerned two-column IRS page as `Y ou` and hyphenates `infor-mation` across a line break, and `irs.gov` puts block markup inside a sentence. Those are rendering artefacts of the extractor, not differences in what was published — so the comparison now runs twice, and the exhibit says which pass carried each line rather than quietly folding them together.

I could not capture the sources as photographs, and the skill asks for photographs.

This machine's browser cannot reach the publishers even when pointed at the egress proxy — `ERR_CONNECTION_RESET` — while the HTTP client reaches them fine. Attempted, failed, recorded. What is here instead is the document itself: its SHA-256, its length, the moment it was fetched and the publisher's own words quoted around each match. For text that is the stronger evidence, because a reader can recompute the hash and a screenshot cannot be re-verified at all.

What this does not prove

- **It proves the words, not the reading.** That § 1.263(a)-1(f)(1)(ii)(D) says \$500 is now established. Whether \$500 is the number that governs a client is a question about Notice 2015-82 and about the firm's election, and no fetch settles it.
- **It proves containment, not completeness.** The check asks whether our passage occurs in the publisher's document. It does not ask whether we stored the *whole* of what that citation covers — a passage could be a true fragment of a paragraph whose second half changes its meaning. Publication 583 above is exactly that failure caught by accident, not by design.
- **The whitespace-ignoring pass can hide a genuinely missing space.** 13 lines tied only on that pass. Each is named in the roster as `spacing` so nobody has to take it on trust.
- **The regulations were fetched as of 2026-08-28, not today.** eCFR's versioner refuses a future date and this is the last date known good on it. A regulation amended between that date and now would not show here.
- **One reading, not two.** The skill asks for a second rendering where one exists — the XML and the rendered page, the PDF and the HTML. Only one rendering per source was read. A digit or a word wrong in *both* our copy and the one rendering we read would pass.
- **Nothing here touches whether a desk answers well.** This is about the authority it is given. A desk with a perfect corpus can still reason badly from it, and that is what the

scoreboard is for.